WARRANTY ATLAS · Colorado (CO)

Law last amended: 2023 (eff. 2023-08-07) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-10-19

Cites: C.R.S. § 44-20-141.5; C.R.S. § 44-20-135 (claim filing, audits, chargebacks); C.R.S. §§ 44-20-121(1)(b), 44-20-128 (sanctions)

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Factory time (reasonable/adequate standard where stated)	§ 44-20-141.5(7)(a)
Mfr-backed service contract	**Not addressed**	-	§ 44-20-141.5(1)(g)
CPO warranty	**Required**	Factory time (reasonable/adequate standard where stated)	§ 44-20-141.5(1)(g)
Independent service contract	**Not addressed**	-	§ 44-20-141.5(1)(g)

Hourly rate: At the dealer's request, the retail labor rate: the dealer's choice of 100 sequential nonwarranty ROs or all nonwarranty ROs over 90 consecutive days (from the last 90 days); nonwarranty labor sales ÷ hours. Effective 45 days after submission unless contested as materially inaccurate; court or executive-director determination, retroactive. ≤1 increase request per year.

Audit fields

Field	Rule	Pinpoint
Claim decision	Silent; late claim deemed approved: no rule in statute.	§ 44-20-135(2). No approval or payment clock was found in p…
Payment	Silent. Dealer filing deadline: 9 months after making the sale or providing the service.	
Chargebacks	9 months; fraud: Subsection (1) does not limit any fraud action brought in court ((3)).. The window runs from the date the claim was SUBMITTED, not paid. No documentation demand or audit more than 15 months after submission, and no chargeback, reimbursement or credit arising from an audit or document request made more than 9 months after submissi…	§ 44-20-135(1)(a); see (1)(b), (3), (4)
Rate resubmission	increase requests not more often than once annually (labor and parts each). Sample: 100 ROs or 90 days (dealer chooses); ROs <= 90 days old. Excluded: Discounted / promotional, Routine maintenance, Tires, Internal, Prep / reconditioning, Goodwill, State inspections, Fleet, Government, Insurance-paid, Other (see text).	§ 44-20-141.5(3)(a); see (3)(c)-(d), (4)(a), (4)(c), (5)(b)
Mfr response	45 days; no response = approved: Yes. Challenge: Material inaccuracy only. SB 23-078 removed the 'substantially different from similarly situated dealers' ground. Forum: The dealer files a complaint in a court of competent jurisdiction or….	§ 44-20-141.5(6)(a)(I); see (6)(b)-(d), (3)(c)
Penalties	In a rate proceeding the court awards the prevailing party reasonable attorney fees and costs, and a prevailing dealer recovers the full unpaid reimbursement as damages (§ 44-20-141.5(6)(d)). Chargebacks that violate § 44-20-135(1) are void on the executive director's determination (§ 44-20-135(4)). A manufacturer's or distributor's li…	C.R.S. §§ 44-20-141.5(6)(d), 44-20-135(4), 44-20-121(1)(b), 44-20-128…
Audit procedures	Audit climate score 41/100 (High restrictiveness; chargeback limits 37/75 + process and oversight 4/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: yes; extrapolation: silent; clerical-error protection: no; rate validation: broader or no procedure.	

Statute quotes

Claims *(§ 44-20-135(2). No approval or payment clock was found in p…): "The motor vehicle dealer shall have nine months after making a sale or providing service to submit warranty, sales, or incentive claims to the manufacturer, distributor, or manufacturer representative."*
Chargebacks *(§ 44-20-135(1)(a); see (1)(b), (3), (4)): "A manufacturer, distributor, or manufacturer representative shall have the right to audit warranty, sales, or incentive claims of a motor vehicle dealer for nine months after the date the claim was submitted."*
Rate *(§ 44-20-141.5(3)(a); see (3)(c)-(d), (4)(a), (4)(c), (5)(b)): "A motor vehicle dealer may establish the retail labor rate and the retail parts markup percentage by submitting to the manufacturer either of the following as decided by the motor vehicle dealer:"*
Factory time *(§ 44-20-141.5(7)(a)): "Shall not establish an unreasonable flat-rate time, nor establish unreasonable flat-rate labor times for new line-makes that are inconsistent with the existing rates"*

Notes

Current consolidated text was read on Justia (2025 C.R.S.) through the browser, because the official C.R.S. is Lexis-hosted. The 2023 changes were checked against enrolled SB 23-078. The section does not apply to recreational-vehicle dealers or manufacturers ((9)); powersports rules are in § 44-20-439.5. 'Warranty obligation' includes CPO warranty ((1)(g)). The retail-rate sample KEEPS work paid by third-party warranty and service contract companies ((4)(c)(XI)). 'Express service' is excluded. Flat-rate times may not be unreasonable ((7)(a)).

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